S&P GLOBAL INC SPGI

February 03, 2026 - 6:00pm EST
by timecapsule

			2026	2027
Price:	468.21	EPS	20.96	23.95
Shares Out. (in M):	305	P/E	22.5	19.7
Market Cap (in $M):	143,812	P/FCF	22.5	19.7
Net Debt (in $M):	9,713	EBIT	8,764	9,672
TEV (in $M):	158,085	TEV/EBIT	18.0x	16.3

Description

Portfolio Manager Summary

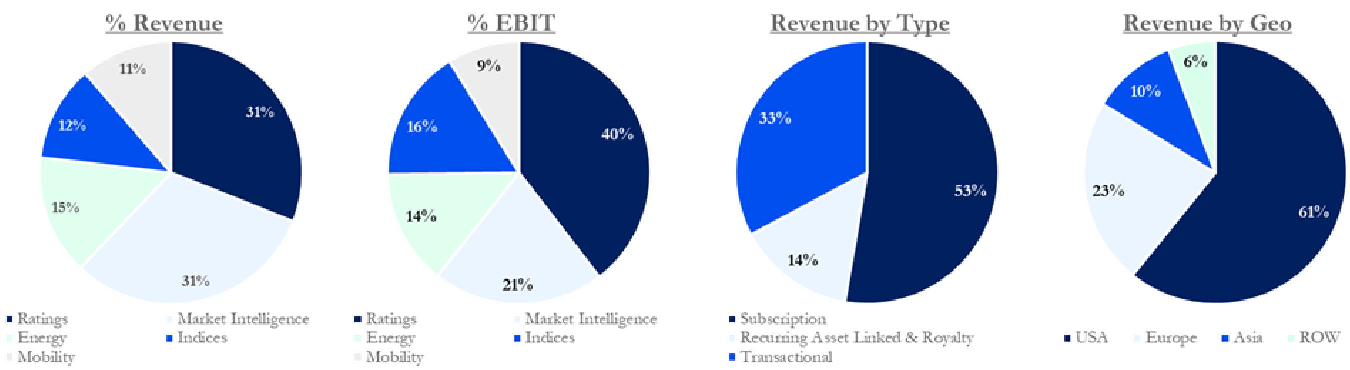
Recommendation: Long S&P Global (NYSE: SPGI).

We think SPGI is attractive today because the stock is wrapped up in broader info services AI disruption concerns despite there being limited risk in benchmark-based business models. We think the most likely outcome is that the business benefits from increased data consumption, margin expansion, or both in the coming years. On our numbers, the stock sets up at ~20x base case ‘27 EPS (+7% cons, >100% FCF conversion) and ~16x earnings power (assuming a theoretical price hike), leaving limited fundamental downside in a high quality business that we would be excited to hold at a higher multiple if we are correct.

Investment Overview

Based in New York City, S&P Global (NYSE: SPGI) is a diversified financial information services holding company that operates in duopolistic and oligopolistic industry structures. At the highest level, SPGI can be described as a royalty on financial markets. They provide mission critical products and services that are benchmark reference standards, have high switching costs, represent a low percentage of customer costs, and benefit from scale (network effects, brand, distribution). The business has produced exceptional returns for shareholders: over the last decade, the stock has compounded at a ~20% TSR.

Figure 1: Key Statistics



As benchmark reference standard data businesses, the Credit Rating Agency (“CRA”), Indices, and Price Assessments (“PRA”) are among the most defensible businesses we have studied. Pro Forma for the Mobility Spin (2H 2026), we estimate these businesses will represent ~75% of EBIT. The remaining ~25% within Market Intelligence and Commodity Insights is mission critical software and services – defensible in its own right. Broadly, we expect SPGI to grow above nominal GDP (6-8% topline), as they benefit from the compounding of capital markets, indexation (active -> passive mix), and responsibly exercise latent pricing power. We believe SPGI can compound earnings (and FCF, >100% conversion) in the low to mid-teens over the long term as secularly growing topline is paired with high fixed costs (>70% incremental margins) and capital allocation. ~85% of capital is returned to shareholders through dividends and buybacks, limiting the risk of large dilutive deal.

After admiring the business for years, we see an opportunity today for several reasons. Negatively, the stock has sold off on AI disruption concerns. We see near zero risk to SPGI’s reference standard benchmark businesses that represent the majority of EBIT. We think AI is likely to be a net tailwind to topline due to accelerated data consumption and to margins through cost efficiency (employees are #1 cost and data must be cleansed). To box a reasonable downside case, we think <10% of EBIT is subject to real competitive risk (see detail) and, in an extremely punitive case, <20% of EBIT is at risk (100% of non-reference standard data businesses). We have detailed how we got there below.

Positively, while CRA revenue growth is no longer well below trough given the rebound over the last few years, we think falling interest rates and an M&A recovery could drive upside to consensus in the near-term. We wouldn’t underwrite this, but AI becoming a debt-fueled bubble is a possibility that is not in the numbers. Further, we have long believed that headline multiples are misleading for the CRA and PRA given significant latent pricing power. SPGI could deploy an aggressive, FICO-like price hike strategy, in theory, although we think this is shortsighted, and we vastly prefer their rational approach to pricing.

We like that the new team (Martina and Eric) has taken steps to centralize operations / GTM between units and consolidated data/IT systems. We see clear opportunity on the margin side despite the optically high starting point (MI in particular). Eric's experience at State Street (which has been in serial cost reduction mode for a decade) will prove particularly useful here per our checks. We think they are raising the bar on internal investment.

Finally, in 2H '26, SPGI will spin their Mobility segment to focus on financial services. We think this transaction will help highlight the undue multiple disparity between SPGI and peers and could reasonably drive a re-rate in the stock (like for like business mix).

SPGI sets up at ~20x our printed '27 earnings estimate (~7% ahead of consensus) and ~16x earnings power assuming a 25% price hike on benchmarks (theoretical). We think this is an attractive entry point for a business of this quality that we would be excited to hold if we are correct. We think '27 earnings can approach $24/sh (+7% consensus), which at a 25-28x multiple (MCO/MSCI trade in the high 20s) results in 30-40% upside in the near-term and we would be hesitant to sell if the stock re-rated into the 30s. We see manageable downside risk over a multi-year period: a trough high teens multiple on earnings ~15% below our estimate (economic contraction or unlikely disruption scenario) results in 15% downside from here. Finally, should broader markets rerate much lower, we still set the stock up at low teens 5-year forward earnings power.

Key risks include dilutive M&A, rising interest rates/widening spreads and a protracted economic slowdown. We think these risks can be bounded within a reasonable range.

Segment Breakdown

We have bucketed SPGI by defensibility given concerns around AI disruption in the info services sector. Subsegment margins are not disclosed, but we think we can make reasonable estimates from our talks with industry professionals.

Our "A++" bucket is benchmarks (CRA, indices, PRA) that represent 70% of EBIT (~75% of proforma EBIT), including CRA data that is sold through the market intelligence segment. This aligns roughly with the statistic Martina verbalized at their recent investor day.

"At S&P Global, over 95% of our revenue comes from proprietary benchmarks, data and tools. Benchmarks make up the majority of our revenue and over 70% of our operating income" – Martina Cheung 2025 Investor Day

Our "A" bucket includes four sub-segments that we think are comparatively isolated from competitive threats. For example, we think Mobility is primarily Carfax, a dominant reference standard business, albeit unrelated to the rest of SPGI (hence the spin). The PRA takes price through the other energy segments which makes a low rating for these segments conservative. SPGI owns WSO, ClearPar and ilevel among other legacy IHS businesses that are bucketed in enterprise solutions (in MI) that we think are high quality.

We have rated the final ~10% of EBIT "B". This consists of Data & Advisory, Desktop (Capital IQ) and Upstream Data & Insights. It seems clear that these businesses would be the most at risk from AI and/or broader competition, although this seems manageable and we could still argue that they are higher quality than the average business even if there is more competition going forward.

Figure 2: EBIT by Sub-Segment (Margin Estimates)

Segments	Rev.	% Rev.	EBIT	Margin	% EBIT
Ratings	**5,688**	**31.2%**	**3,873**	**68.1%**	**39.9%**
Market Intelligence	**5,637**	**31.0%**	**2,050**	**36.4%**	**21.1%**
Credit & Risk Solutions	*1,011*	*17.9%*	*606*	*60.0%*	*6.2%*
Enterprise Solutions	*1,445*	*25.6%*	*578*	*40.0%*	*6.0%*
Data & Advisory Solutions	*1,762*	*31.3%*	*582*	*33.0%*	*6.0%*
Desktop	*1,420*	*25.2%*	*284*	*20.0%*	*2.9%*
			-		
Energy	**2,680**	**14.7%**	**1,375**	**51.3%**	**14.2%**
Price Assessments	*904*	*33.7%*	*678*	*75.0%*	*7.0%*
Energy & Resources Data & Insights	*909*	*33.9%*	*394*	*43.3%*	*4.1%*
Advisory and Transactional Services	*328*	*12.2%*	*142*	*43.3%*	*1.5%*
Upstream Data and Insights	*539*	*20.1%*	*162*	*30.0%*	*1.7%*
			-		
Indices	**2,141**	**11.8%**	**1,561**	**72.9%**	**16.1%**
Mobility	**2,057**	**11.3%**	**848**	**41.2%**	**8.7%**
Other	(236.6)		(34.6)		
Total	**$ 17,966**	**100.0%**	**$ 9,672**	**53.8%**	**100.0%**
A++ (Pro Forma)		**61.2%**			**76.1%**
A++	**$ 9,743**	**54.2%**	**$ 6,718**	**69.0%**	**69.5%**
A	**$ 4,502**	**25.1%**	**$ 1,926**	**42.8%**	**19.9%**
B	**$ 3,720**	**20.7%**	**$ 1,027**	**27.6%**	**10.6%**

Management Compensation & Incentives

Executive compensation is fine at SPGI. It is based ~95% on long term incentive stock that is split 30% RSU and 70% PSU and vests purely on 3-year EPS targets. The bar isn't particularly high to achieve payout, but we do like that if earnings go backwards the number is zero (implied by lower bound of range). Near-term incentives are based on EBITDA and revenue growth. Martina's incentive is to not to break anything, which we think is acceptable for a business of this quality.

Segment Overview

S&P Global Ratings ("Ratings", 40% EBIT)

S&P Global Ratings is an independent Credit Ratings Agency ("CRA") that provides credit ratings and associated research. It generates revenue under an issuer-paid model, charging fees for new debt issue ratings and ongoing surveillance / licensing of their existing ratings. The CRA business is a duopoly/co-monopoly (with Moody's, Fitch a distant 3rd), reference standard business that benefits from cross border network effects. CRA's are deeply embedded in our regulatory and financial infrastructure, largely because they were there first. It is difficult to replicate a fluke of history. The more bonds rated by S&P the more comparable and "credible" they are in the market to all parties (issuers, investors, regulators) increasing the likelihood they will be selected for the next issuance. Accuracy isn't really that important – SPGI contributed to / lived through the GFC. We would trust APO or Ares underwriting over an IG rating, but we think private credit will be coerced into using the "Big 3" for this reason.

Price is a self-fulfilling prophecy for incumbents. A challenger agency that competes on price and/or issuer rating levels harms their own credibility in the market. An S&P (or MCO) rating can decrease funding costs by up to 50 bps, versus their ~1 bps net take (on ~$70T of rated debt). We see significant latent pricing power that can and is exercised rationally over time (3-4% per year), and as debt stock grows through compounding, this pricing umbrella is retained.

S&P Dow Jones Indices ("Indices", 16% EBIT)

SPGI's index segment creates and maintains indices that are used to track asset classes and benchmark asset manager performance. There are ~$27 trillion dollars indexed or benchmarked to S&P Indices (the bulk on the S&P 500). S&P, MSCI and FTSE (LSEG) operate in an oligopoly with >70% market share. They benefit from cross border network effects: the more investors rely on a specific benchmark the more likely it is that a manager use it and vice versa. There are high switching costs for something that represents a low percentage of costs and credibility/brand barriers once established – often via fluke of history/being there first, similar to the CRA.

Market Intelligence ("MI", 20% EBIT)

SPGI's Market Intelligence division has the widest range of products and is effectively a catch-all at this point. It earns revenue mostly from subscription fees (84%) for access to its data feeds, research, and software, supplemented by usage-based fees tied to client activity. Retention rates used to be disclosed in the high 90s. They distribute proprietary CRA data through this segment.

- Credit & Risk Solutions: Commercial arm that distributes CRA data. Portfolio covers 400M+ companies globally (public and private, rated and unrated)
  - Key Products: RatingsXpress, RatingsDirect (data feeds), RiskGauge, Credit Assessment Scorecards, CreditPro, Third-Party Risk Management
- Enterprise Solutions: Software and workflow solutions
  - Key Products: Wall Street Office ("WSO"), ClearPar Loan Platform, iLevel, Global Regulatory & Reporting Data (Cappitech), KYC Services, Debtdomain. Primarily from legacy IHS Markit
- Data & Advisory Solutions: Research, reference data, market data, analytics, and valuation services covering public and private capital markets
  - Key products: Fixed Income Pricing and Reference Data, Private Company Data, Compustat, the GICS industry classification system, Valuation Services, CIQ Financials. ~75% legacy IHS Markit
- Desktop: Workflow tools including Capital IQ Pro, Capital IQ Office, Visible Alpha

S&P Global Energy ("CI", 14% EBIT)

S&P Global Energy (previously Commodity Insights "CI") is a provider of reference standard benchmarks on key commodities, such as Platts Brent, Platts JKM (LNG), Platts Iron Ore and many others (15k daily). The primary asset is the Price Reporting Agency ("PRA") that creates and maintains independent benchmarks for key commodity prices and derivative contracts under the Platts brand. Platts price assessments are the basis for billions of transactions annually in physical and futures markets. This is a reference standard business with clear parallels to Indices and CRA. During the acquisition of IHS, SPGI was required to divest OPIS, another PRA, on competitive concerns. See the DOJ competitive impact statement for helpful background.

The sub-segment breakdowns mean little, in our view, as we think the other products are a means to gently increase prices on the core PRA business without drawing regulatory or undue customer pushback. They need to be "good enough". They have pivoted to "commodity services packages" instead of charging specifically for Brent pricing for example. The business makes money through subscriptions (>85%) to its pricing data services, market reports, and analytical tools, along with royalties from licensing to exchanges and even some income from consulting and conferences. Key competitors include ICIS (RELX), Argus Media (General Atlantic), OPIS (Dow Jones), and to a lesser degree, Wood Mackenzie, Rystad and Enverus.

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Catalyst

Mobility spin, M&A/capital markets recovery

Messages

Subject Market Intellligence
Entry 02/03/2026 09:11 PM
Member jnau

What do you think about likelihood SPGI achieves Market Intelligence consensus forecasts? It looks to be around 1/3 of incremental EBIT through 2028. Are you worried about negative revisions in that segment? If that happens do you think the multiple will compress further?

Subject Re: Market Intellligence
Entry 02/03/2026 10:33 PM
Member timecapsule

MI is also where I am least enthusiastic which you probably gleaned. Cons is ~7% topline and ~36% margins which seems fine to me acknowledging the slight accel. In a case where MI topline comes in at 5-6% I think there is room on margins to offset. I do not think it would/should ding the multiple that much either - MI is very clearly the most competitive lowest multiple segment (ex CRA data offshoot). I don't think others care much for MI right now but I could be wrong. If the other segments were firing I would personally look right through a modest miss here. Appreciate the question, what do you think?

Subject AI Bear Case
Entry 02/04/2026 02:32 AM
Member Forrest Gump

This maybe a dumb question, but do you understand what the bear case is? Is the thinking that AI is going to assign credit ratings and replace indices? Aren't both of these things written into a ton of docs making them very hard to disrupt. As an AI dummy I don't understand how people think the disruption would work in practice, but maybe I just lack imagination/ proper understanding, so would be helpful if you have seen a good bear case.

Subject Re: AI Bear Case
Entry 02/04/2026 08:55 AM
Member timecapsule

Not a dumb question. There may be people that think that AI will fully displace benchmark businesses (as there are people that thing software will go away entirely) but I haven't heard that pushed seriously. I think a reasonable bear case is that AI is making it easier to make and switch from the workflow and software solutions that SPGI provides. Capital IQ, for example, is a terrible clunky product (and carries way too much mindshare for its contribution to the business). Competition will increase from new better products. Claude, Alphasense etc. Even if they are not better, billions of VC dollars are pouring into anything with an AI label on it. Financially the topline is pressured by pricing and an investment cycle ensues as they try to keep up. Point to FactSet as an example of roadkill.

I think in reality anything with a whiff of this is getting shot and if you have <1 year horizon this is hard to own. I personally like reframing SPGI as I have in the note to address / bound any impact to a small subsegment of their business.

Subject Re: Re: AI Bear Case
Entry 02/04/2026 10:20 AM
Member woop

Months ago I went fairly deep on FDS, LSEG, and SPGI to a lesser extent and came away with a few takeaways, in case they're of interest:

- The desktop workstations (Cap IQ, FactSet's workstation, Refinitiv's desktop workstation products) are currently cash cows.
- Claude for Finance is very powerful and offers huge upside to institutions (e.g., banks, funds, etc.), including the opportunity to elegantly layer firm-specific research and information with 3rd-party data. Plus instead of looking extracting data from the workstation to facilitate whatever you're doing, Claude for Finance offers the prospect of both piping the data and taking a crack at the work itself. This could be a ~10x product improvement. The desktop workstation business seems likely to become roadkill in my view. Sure, people are used to certain workflows that it's tempting to think Cap IQ, for instance, won't get disrupted (I really like Cap IQ). But the Claude for Finance, for example, offering sounds so compelling--and likely intuitive--that we'll look back 10-15 years from now as Cap IQ being a stoneage product.
    - It's not worth it for the AI upstarts (e.g., Claude for Finance, AlphaSense) to clean their own data. They instead have/will buy it from SPGI/FDS/LSEG because they've developed reliable processes over decades. For instance, AlphaSense pipes in LSEG data on a meter. The big question becomes: Will the legacy players sell the data to the upstarts too cheaply? My hot take: From a competitive strategy/game theory perspective, it's not pretty. If it were just two players, maybe they'd sort it out civilly. But it's like at a dance with fewer girls than guys when the slow song comes on: The right move is to quickly tie up to avoid getting left on the sidelines. The analogy isn't perfect because with the data providers it's a many-to-many relationship vs one-to-one at the dance, but that's the idea. I personally suspect LSEG will tend to play spoiler from a price perspective, given its history and management.
- For what it's worth, Bloomberg seems a bit more protected.

Ratings of course seems protected. With analytics it seems like the key question is how much of a "cornered resource" the company has.

Subject Re: Re: Re: AI Bear Case
Entry 02/04/2026 10:28 AM
Member gtwt

Dumb question: I haven't tried Claude for Finance - what are the best actual use cases that illustrate the product value? Asking because I use LLMs a lot for reasoning and research, and among them regular Claude stands out as barely usable to me (again, asking from the position of dumness).

Subject Re: Re: Re: Re: AI Bear Case
Entry 02/04/2026 12:32 PM
Member woop

I fittingly ran it the question over my notes and here's the output. I think it's missing some of the more complex stuff I encountered--maybe I forgot to record it. But off the top of my head some of the fixed income stuff sounded impressive, with AI layers being used to look across multiple reference data (external and proprietary sources) to calculate complex metrics and match buyers and sellers based on inventory history, etc. I added to the "Secure Data Retrieval" section since I think that's where you can start to visualize the future.

- Investment Research and Insight Generation. Claude is used to accelerate the research workflow for equity and capital market analysts by automating the retrieval and synthesis of complex data.
  - Live Data Analysis: Analysts use Claude to evaluate specific stocks (e.g., Microsoft) by retrieving live equity pricing, historical data, forecasts, and broker estimates directly from integrated partners like S&P Global and FactSet.
  - Summarization of Unstructured Data: The model ingests and summarizes earnings call transcripts, research notes, and filings (e.g., 10-Ks) to provide quick actionable insights.
  - Fact-Checking Market Signals: Claude can be used to validate market perceptions or influencer claims against raw data to distinguish signal from noise.
- Regulatory Compliance and KYC Automation
  - Given its design focus on "constitutional AI" and safety, Claude is heavily utilized for compliance workflows that require high precision and auditability.
  - Automated Compliance Reporting: The platform can draft compliance reports by reviewing corporate data against regulatory frameworks (e.g., MAR, IFRS, Basel III).
  - KYC (Know Your Customer) Document Intelligence: Claude handles complex KYC tasks, such as analyzing corporate ownership documents, processing multilingual inputs, and verifying sanctions lists to uncover hidden risks.
  - Contract Analysis: It can scan large, complex financial contracts (e.g., derivatives trade agreements) in seconds to summarize key terms and obligations.
- Risk Management and Analysis
  - Risk officers utilize Claude to automate the detection of anomalies and exposure.
  - Counterparty Exposure & Stress Testing: The platform assists in generating risk analysis reports, running stress tests, and calculating counterparty exposure based on transaction data.
  - Anomaly Detection: In post-trade processing, AI layers built on top of LLMs like Claude are used for reconciliation to flag mismatches in settlements or potential fraud.
- Data Integration via Model Context Protocol (MCP)
  - A key differentiator for Claude is its ability to act as a "unified data ecosystem" rather than just a chatbot. It does not scrape this data; it connects to it securely.
  - **Secure Data Retrieval**: Through MCP, Claude connects securely to trusted third-party data lakes (e.g., Snowflake, Databricks) and proprietary feeds (e.g., Bloomberg, LSEG, S&P) to fetch real-time, verified data without hallucinating figures. Instead of relying on its training data, Claude acts as a router: a user asks a question, Claude triggers the MCP protocol, which queries FactSet, which in turn pulls verified data from an exchange, and relays it back to the user. This architecture allows financial institutions to keep proprietary data within their own firewalls (e.g., inside a Snowflake or Databricks environment) while using Claude's reasoning capabilities to analyze it. This solves data sovereignty and privacy issues that previously blocked LLM adoption in banking.
  - Workflow Integration: It is being integrated into internal bank workflows to replace manual data stitching, allowing users to query internal and external structured data simultaneously.
- Client Engagement and Content Creation
  - Drafting Client Communications: Advisors and bankers use the tool to draft client notes, investment research reports, and engagement summaries.
  - Personalized Advisory: In wealth management contexts, similar AI architectures are used to generate personalized investment plans based on customer risk profiles and goals.
- Important Limitations. While effective for research and compliance, specific areas where Claude (and GenAI generally) cannot currently compete:
  - High-Frequency Trading (HFT): Claude is not suitable for ultra-low latency or high-frequency trading. The inference speed of LLMs is too slow to capture microsecond market movements or execute trades based on real-time ticks.
  - Proprietary Data Access: Claude cannot access proprietary exchange data (e.g., from NYSE or CME) directly. It must route requests through licensed intermediaries like FactSet or S&P, meaning users still require underlying data licenses.

And just to contextualize your first-hand experience, Anthropic itself has admitted it's not investing in its chatbot in hardly the same way OpenAI and Google are. They treat that as a secondary consumer-facing product.

Subject	Re: Re: Re: Re: Re: AI Bear Case
Entry	02/04/2026 08:10 PM
Member	timecapsule

Appreciate you sharing your work, Woop. I do not disagree that desktop / workflow / non-proprietary data could reasonably face more competition going forward for all the reasons highlighted. I do want to make sure we don't extrapolate this limited exposure too far (and agree with your conclusion re what matters).

I think the vast majority of the business (ratings, indices, PRA) is irreplicable and I really struggle to see anything described driving competitive pressure here. To me it seems clear that there are more reasons to be excited than afraid. Truly proprietary, reference standard data could become more valuable (demand up, supply =). Expenses could go down as they save on headcount, research costs. If new AI workflow tools are that much more efficient, employee productivity could go through the roof. Do we see 100% incremental margins in the core? More? Could weakness in isolated segments catalyze excess price taking? These great businesses have fun ways to do that.

Again, appreciate the dialogue on this.

Subject	Re: Re: Re: Re: Re: Re: AI Bear Case
Entry	02/04/2026 10:17 PM
Member	woop

Anytime timecapsule--SPGI definitely seems like one of the better ones of the lot, and I want to spend more time on it. Thanks again for the writeup.

Subject	Multiple
Entry	02/10/2026 03:20 PM
Member	jgalt

Looks like it's now trading at 22.5x trailing adj eps and they guided to 10% adj eps growth for FY 26.

For your '27 EPS to be true it would have to grow 22% YoY from their '26 guide. What would be the drivers?

If it keeps growing slowly wouldn't this trade at a lower multiple, perhaps a bit higher than where it is now?

Subject	Re: Multiple
Entry	02/10/2026 03:49 PM
Member	eigenvalue

Bloomberg has consensus forecast at $22.4 for 2027, so it is currently trading at 18x 2027 EPS already. Also, the company said several times on the call that they are trying to be conservative in forecasting 2026.

Subject	Re: Re: Multiple
Entry	02/10/2026 06:14 PM
Member	timecapsule

Ratings and MI tad soft in the quarter and tough guides for each. I will eat my words below (of course, market is humbling machine). Clearly the market is not ready to look through weakness anywhere!

I am not surprised to see the stock down given the guidance miss, but down 10% at close confuses me (let alone initial reaction).

The CRA is obviously finger in the air in any given year but they left out plenty of good guys in the guide (M&A, AI capex). MI is still growing 7% organic and EBIT missed because they pulled forward investments using indices cash (which is crushing it). MI guidance dings 15% transactional revenues despite continued acceleration in the subscription business.

This seems fine to me fundamentally and now the stock set-up is on what appears to be conservative guidance for the year. Punchline is that I was / am a buyer today.